

City Council Work Session Minutes
April 2, 2018

CALL TO ORDER

Mayor Filkins opened the meeting at approximately 4:20 pm.

ROLL CALL

Present: Council Members: Spoelman, King, Engels, Mayor Filkins

Absent: Council Member: Schippers

Staff Present: Peccia, Roberts, Dietlin, Wallace, Eller, Wasson

Others Present: Chris Lamphere, Cadillac News

APPROVAL OF AGENDA

Motion was made by King and supported by Engels to approve the agenda as presented.

Motion unanimously approved.

PUBLIC COMMENTS

There were no public comments.

DISCUSSION AND REVIEW OF THE FISCAL YEAR 2019 ANNUAL OPERATING BUDGET

City Manager Peccia made a few brief comments regarding the budget approval process. He stated there was a second special meeting (work session) scheduled for April 16, 2018 to continue discussion on the budget, if required. He noted if Council determines that a second special meeting (work session) is not required it can be cancelled accordingly.

**Council Member Schippers joined the meeting at 4:22 pm.*

Owen Roberts, Director of Finance, summarized the highlights of the Fiscal Year 2019 Annual Operating Budget. (see attachment)

Conversation occurred between Council and City Staff regarding some of the information that was presented, and discussion ensued regarding several of the projects that were highlighted, such as the generator for the municipal complex, fiber network extension, and plow trucks.

Mayor Filkins proposed the cancellation of the special meeting (work session) scheduled for April 16, 2018.

Council agreed to the cancellation of the special meeting (work session) scheduled for April 16, 2018.

Peccia stated the required meeting cancellation notifications will be handled accordingly.

ADJOURNMENT

Mayor Filkins adjourned the meeting at 5:45 pm.

Respectfully submitted,

Carla J. Filkins, Mayor

Sandra L. Wasson, City Clerk

FY2019 Budget Discussion Items

GENERAL FUND

General Fund Revenue Highlights

- Taxable Value/Impact of Personal Property Tax Reform
 - Overall value **declined** \$217,548
 - Real property value **increased** \$6,435,052; personal property **down** \$6,652,600
- Estimated Reimbursement Calculations

Fiscal Year	Original Budget	Estimate From State	Actual	Difference
2017	\$320,000	\$324,516	\$612,688	+\$288,172
2018	\$350,000	\$349,436	\$665,819	+\$316,383
2019	\$390,000	\$416,821	?	?

- Anticipate increase of approximately \$1.60 for solid waste removal upon proposed extension of contract with Republic Services
- No proposed use of reserves to balance FY2019 budget

General Fund Expenditure Highlights

- 2.0 - 2.5% COLA's for all employee groups; IAFF contract expires 6/30/18 and negotiations begin April 2018
- **Capital Outlay**

Mechanical Controls System	10,000
Municipal Complex Signage	7,500
Staff Car	23,000
Police Patrol Vehicle	33,000
Fire Pumper *	420,000
Self-Contained Breathing Apparatus *	134,500
Playground Equipment	15,000
Shoreline Stabilization	7,500
Wheelchair Accessible Swing	20,000
Total	\$670,500

** Purchase contingent on receipt of Assistance to Firefighters Grant for 95% of cost*

- Transfers to Other Funds
 - Cemetery Operating – maintained at \$60,000
 - Local Street Fund – down \$30,000 (enabled by projected increase in Act 51 Revenue)

WATER AND SEWER FUND

Water and Sewer Fund Revenue Highlights

- Proposed 3% rate increase; Justifications:
 - Final Phase of well field relocation – prepare for additional costs and debt service
 - Professional rate study results confirmed need for regular and systematic series of rate increases to fully fund needed capital investments
- New late fees implemented 7/1/15 continue to mitigate need for additional revenue and fund costs of delinquent collections

- Leachate continues to come in above budget, but don't want to build too much reliability; any additional revenue will be reinvested into system

Water and Sewer Expense Highlights

- Increased budget for meter replacements to \$95,000 – should be final year
- No staffing increases other than COLA
- Depreciation and Interest will increase next year based upon new well field project
- Current budget for Interest Expense not reduced for several years even though total interest costs are low; this will help offset impact of increase when well field loan draws begin;

Water and Sewer Capital Highlights

- Well Field (\$3,000,000 originally estimated; initial projections indicate this project could costs significantly more)
- Other Infrastructure (\$582,500)
- Vehicles (3 service trucks - \$83,000)
- Building Improvements (\$175,000)
- Equipment (\$97,500)
- Total \$3,938,000

MAJOR AND LOCAL STREET FUNDS HIGHLIGHTS

Revenue Highlights

- Act 51 Revenues – significant increase based on legislative reform – increase in fuel taxes and vehicle registrations. These revenues flow through MDOT and MVHF formulas:
 - o Major Street Fund: estimated \$80,000 increase from current year projections
 - o Local Street Fund: estimated \$25,000 increase from current year projections
 - o Just learned of additional \$175,000,000 appropriation from the State of Michigan; Cadillac will receive a payment of \$82,000 in April 2018)
- Transfer from Major Street Fund to Local Street Fund increased to \$200,000 (can legally transfer 25% of Major Street revenue to Local Street)
- Because of revenue increases – reliance on General Fund down to \$130,000
- Paid off 2004 Debt issue in FY2018. Freed up debt service capacity; propose to issue bonds in FY2019 of a minimum of \$1.5 million to fund the next four (4) years of scheduled projects.

Expenditure Highlights

- Fairly status quo with street maintenance operations
- Added one additional maintenance worker in FY2018; enabled by changing management structure when former City Engineer retired in 2017

OTHER BUDGET HIGHLIGHTS

- Stores and Garage Fund (DPW Fleet)
 - o Capital Spending
 - Sweeper (\$200,000)
 - Plow Truck (\$160,000)
 - Riding Mower (\$10,000)
 - Total \$370,000; will need cash-flow assistance either from other identified funding sources or internal loan
- Fiber Connectivity Project
 - o Merit Networks (\$47,000) – this is a piggyback on the connection work that Merit is providing to Wexford County to connect the new jail.

- o Underground Conduit (\$16,000) – The City has offered to provide conduit underground in City right-of-way for a portion of the fiber run.
 - o Water Tower (?) – The City will be getting pricing for additional underground cable to connect the water tower. Once this is complete, the City’s wireless project can move forward to connect all City facilities to main network.
 - o Costs shared between IT fund and Water and Sewer Fund
 - o Could be completed in FY2018 but most likely trickle into FY2019
- Server Replacement Project (Information Technology Fund - \$50,000)